

Based on these, it is safe to assume that today no business can survive without having proper banking channels. We will throw some light on the step by step process that needs to be followed plus the paperwork involved for any business to open a banking account or getting itself covered by adequate banking channels.

Types of bank accounts

Let us understand various types of accounts and services that are offered by the bank. Banking accounts can be broadly categorised into:

- **Savings Account :** A savings account is an account provided by a bank for individuals to save money and earn interest on the cash held in the account. Here the No. of transactions permitted is generally limited. The main purpose here is to save money, keep the deposits safe and withdraw the fund when needed.



The main purpose of a savings account is to save money.

- **Fixed Deposit :** A fixed deposit is a financial instrument provided by banks which provides investors a higher rate of interest than a regular savings account, until the given maturity date. Fixed Deposit can be opened for both commercial or personal purpose. Here the customer deposits money with the bank at an agreed rate of interest and for an agreed time frame. The main purpose here is to earn risk free interest on money deposited.